Graphic Era HILL UNIVERSITY
Established by an Act of the State Legislature of Uttarakhand (Adhiniyam Sankhya 12 of 2011)
University under section 2(f) of UGC Act, 1956

MBA (Trimester-II) Regular Examination February 2026

Roll no..............................

Name of the Course and semester:
Name of the Paper: International Business
Paper Code: MBA 204
Time: 3 hour

Maximum Marks: 100

Note:

(i) This question paper contains two Sections-Section A and B
(ii) Both Sections are compulsory
(iii) Answer any two sub questions from a, b & c in each main question of Section A. Each sub question carries 10 marks.
(iv) Section B, consisting of a case study, is compulsory. It is of 40 Marks.

Section A

Q1.

(2X10=20 Marks)

a. Explain the Mercantilism theory of international trade and critically examine its relevance in the present global trade scenario.
(CO1, CO2, CO3)

b. Discuss Absolute Cost Advantage and Comparative Cost Advantage theories with suitable illustrations.
(CO1, CO2)

c. Define International Business and explain its characteristics. Differentiate between domestic and international business. (CO2, CO4)

Q2.

(2X10=20 Marks)

a. Discuss the reasons for entering international business and explain the complexities involved in international operations.
(CO2, CO3)

b. Explain the EPRG Framework and describe the stages of internationalization adopted by firms. (CO2)

c. Analyze the economic and socio-cultural environment affecting international business decisions. (CO4)

Q3.

(2X10=20 Marks)

a. Examine the role of Export Promotion Councils, Commodity Boards, and Government initiatives in promoting India's exports.
(CO2, CO3)

b. Explain various modes of entry in the international market. (CO1, CO2)

c. Explain the role of WTO and GATT in the growth of international business. (CO2)

Section B

Q4. Case Study

(40 Marks)

The EU–India Comprehensive Trade and Investment Deal Announced on 26 January 2026

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Background

On 26 January 2026, coinciding with India's Republic Day, the Government of India and the European Union jointly announced a landmark Comprehensive Trade and Investment Deal (CTID) aimed at strengthening bilateral economic relations. The announcement was made after several rounds of negotiations that had resumed in the early 2020s, reflecting the growing strategic, economic, and geopolitical importance of the EU–India partnership.

The European Union, consisting of 27 member states, represents one of the largest trading blocs in the world, while India is one of the fastest-growing major economies. Prior to the deal, the EU was already among India's top trading partners, with significant trade in goods, services, technology, and investments. However, trade relations were often constrained by tariff barriers, regulatory differences, sustainability standards, and market access issues.
The EU–India CTID announced on 26 January 2026 aimed to create a balanced, inclusive, and sustainable framework for trade and investment, addressing long-standing concerns of both parties while promoting deeper economic integration.

Key Features of the Deal

The agreement proposed progressive reduction of tariffs on industrial goods, automobiles, pharmaceuticals, textiles, and agricultural products. For India, improved access to European markets for textiles, leather goods, IT services, pharmaceuticals, and engineering products was a major gain. For the EU, India agreed to phased tariff reductions on automobiles, renewable energy equipment, medical devices, and high-end manufactured goods.

A significant component of the deal focused on services trade and digital cooperation, particularly in IT services, fintech, data governance, and professional mobility. India sought easier movement of skilled professionals, while the EU emphasized data protection, cybersecurity, and regulatory transparency.

The deal also included provisions on investment protection, intellectual property rights, government procurement, and dispute settlement mechanisms. Special emphasis was placed on sustainable development, environmental standards, labor rights, and climate commitments, aligning with the EU's Green Deal and India's sustainable growth agenda.

Despite its potential benefits, the EU–India CTID faced several challenges. Indian industries expressed concerns about competition from technologically advanced European firms, while EU stakeholders remained cautious about regulatory enforcement and intellectual property protection in India.

Successful implementation of the deal depended on strategic adaptation by firms, government support for capacity building, and continuous policy coordination. The agreement was widely viewed as a test case for balancing economic growth, sustainability, and strategic autonomy in international business.

a. Analyze the global and economic dynamics that led to the announcement of the EU–India Trade and Investment Deal. (CO4)

b. Examine how international trade theories explain the potential benefits and challenges of the EU–India deal. (CO2, CO3)

c. Assess the international business environment (economic, socio-cultural, political, legal, and technological) influencing firms under the agreement. (CO3, CO4, CO5)

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d. Suggest strategic responses for Indian firms to successfully leverage the opportunities created by the EU-India deal. (CO6)